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California legislature Approves $356 billion budget

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After a day of impassioned debate, the California Assembly voted 60 to 19 to pass a $356 billion annual state budget on June 15 that includes $253 billion investment in the General Fund.

Earlier that same day, the Senate voted to approve the spending plan.

The budget, which all members of the California Legislative Black Caucus (CLBC) voted in favor of, lays the groundwork for final negotiations with Gov. Gavin Newsom before the new fiscal year begins on July 1.

Members of the CLBC voiced concerns about pending social services cuts in Newsom's plan affecting seniors and disabled persons, healthcare, education, homelessness, and childcare.

"As a co-equal branch of government, we are rejecting the governor's recommendations (for funding cuts)," said Assemblymember Corey Jackson (D-Moreno Valley), a member of the CLBC.

According to the Overview of the Legislative Budget Plan presented by Sen. John Laird (D-Santa Cruz), chair of the Senate Committee on Budget and Fiscal Review, the legislative package includes $5.5 billion more in revenues than were reflected in the spending plan Newsom presented to the Legislature on May 15.

The Democratic majority in the Legislature overwhelmingly supported the budget proposal detailed in Assembly Bill (AB) 109, authored by Assemblymember Jesse Gabriel (D-Encino). AB 109 addresses the structural shortfall by cutting the state's deficit in half and setting aside $36.5 billion in state reserves.

Democrats say the Legislature's budget is a response to the anticipated effects of H.R. 1, the One Big Beautiful Bill Act, which cuts federal health care and food assistance programs. Signed by President Donald Trump on July 4, 2025, the law also included major tax cuts and an increase in the federal debt limit.

"We know that affordability is a real issue that folks are feeling. They are feeling incredibly stretched financially right now," Gabriel told California Black Media (CBM). "We're looking at a lot of ways to continue to protect health care services and make sure everybody, including poor working families, the most vulnerable communities, and middle-class communities have access to healthcare."

Sen. Lola Smallwood-Cuevas (D-Los Angeles) said California does not have a revenue strategy "that speaks to the long-term sustainability of our Medi-Cal system."

"I want to make one thing clear today, we are not voting on a budget plan that includes a Fair Share proposal, a proposal built on the simple idea that when large profitable corporations depend on a workforce whose health care is subsidized by taxpayers, those corporations should contribute their fair share to the public system that keeps their workers healthy," Smallwood-Cuevas said on the Senate floor before the vote.

Republican lawmakers argued that the budget includes too much spending and fails to fund critical priorities that are important to working Californians.

Senate Minority Leader Brian W. Jones (R-Santee) said the Democrats exhibit "tone-deafness" and seem unconcerned with "delivering real results with Californians' hard-earned tax dollars."

"This budget just goes to show that our once Golden State has become a playground for left-wing politicians, where

$2 billion green fleets are a better use of our gas tax money than safe roads, and suing the federal administration is more important than funding public safety," Jones stated.

AB 109 includes a record $127 billion allocation to kindergarten through 12th grade education and community colleges.

Assembly Speaker Robert Rivas (D-Salinas) said that the legislature is concerned about the historic surge in gas prices, persistent and rising inflation, and even higher costs for groceries, housing, energy bills, and health care affecting most Californians.

The legislative spending package targets healthcare infrastructure stability across several key areas. The budget authorizes up to $190 million from the general fund in forgivable loans through the Distressed Hospital Loan Program to support struggling hospitals. The budget also provides $250 million specifically to support California's public hospital systems.

AB 109 also rejects the governor's proposal to reduce the Medi-Cal asset limit for seniors and disabled individuals down to $2,000.

Sen. Laura Richardson (D-San Pedro), the chair of the Senate Budget Subcommittee No. 5 on Corrections, Public Safety, Judiciary, Labor, and Transportation, explained that the Senate worked diligently to ensure healthcare protection.

"While there are ongoing access issues around programs such as Medi-Cal, hospitals, and courthouses, we have created a plan that will ensure Californians have access to essential services," Richardson said.

Under the budget agreement, the Legislature included an overall package of $375 million to support Proposition (Prop) 36 implementation, which covers court workloads, mental health treatment, victims' services, and public safety programs.

In addition, a distribution of $50 million in one-time funding goes to counties strictly for behavioral health departments to handle substance use and mental health treatments under Prop 36.

Republicans insist that those allocations are not enough.

"In November 2024, Californians approved Prop 36 because they were tired of watching repeat offenders cycle through a system that failed victims, communities, and law-abiding residents," Diane Dixon (R-Newport Beach) said. "Prop. 36 cannot work without funding, and we are seeing the results in increased crimes."

AB 109 rejects Newsom's proposed cuts to the In-Home Supportive Services program, maintains full-scope Medi-Cal for disadvantaged populations, and provides $100 million for local food banks.

It also allocates $900 million for the state's homelessness fund and $700 million for affordable housing programs such as the Multifamily Housing Program. Newsom initially planned to reduce the Homeless Housing, Assistance, and Prevention (HHAP) program to $500 million for the 2026–2027 fiscal year—a $500 million drop from prior $1 billion funding rounds.

Newsom must sign off on the state budget on or before June 30.

"Though Republicans have tried to set us up for failure, this budget helps to set up Californians for success," Jackson said.

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